

Introduction to Macroeconomics (S102016CR)

Spring Semester

<https://moodle.unige.ch/course/view.php?id=6618>

Marcelo Olarreaga, Office M5270

Friday session:
For Weeks 7, 8 and 9

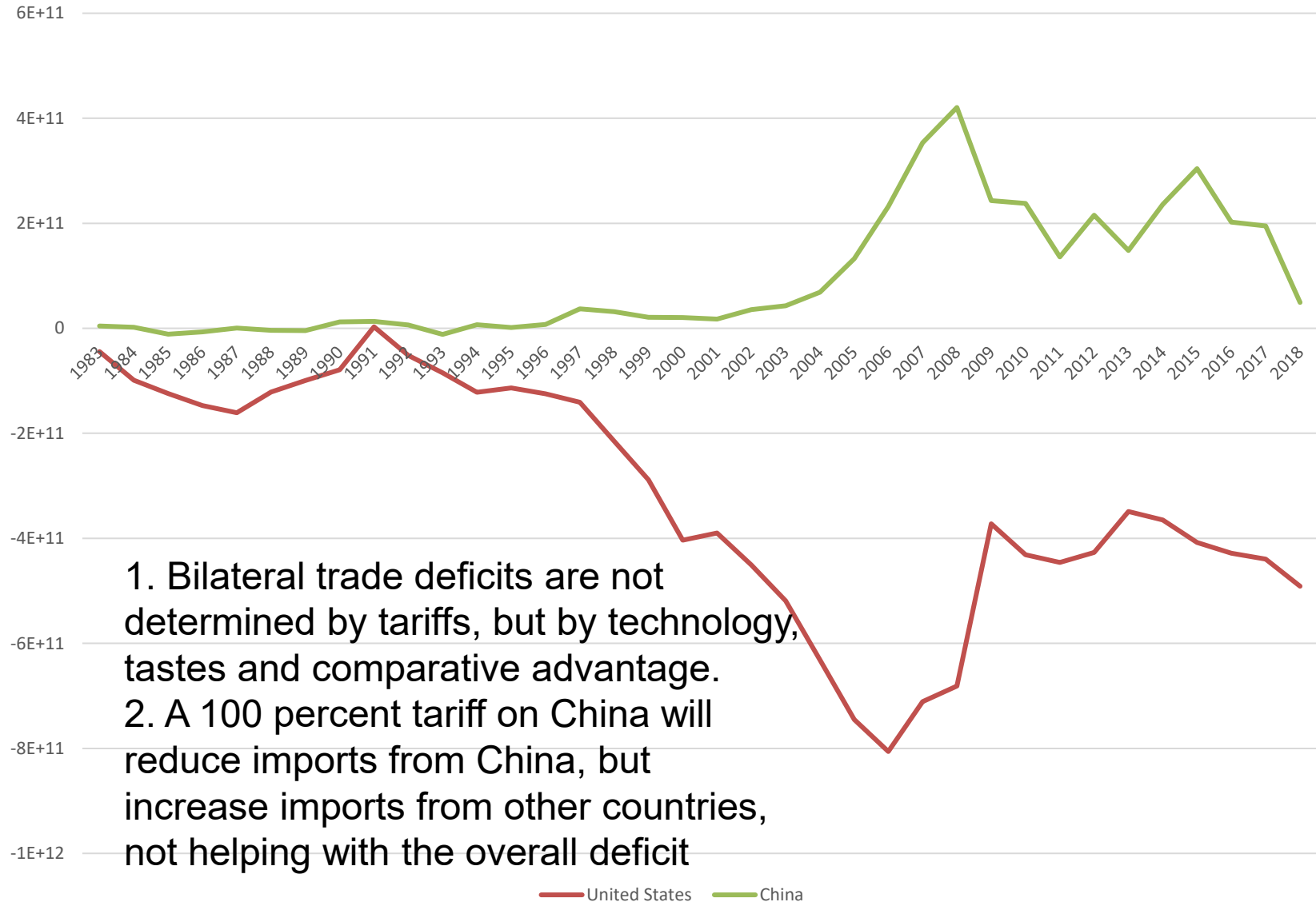
Net exports is identical to net capital outflows. Two sides of the same coin.....

When I export goods and services, I get a foreign asset in exchange (foreign currency), and when I import goods and services, I get goods and services and give a domestic asset in exchange (CHF). Fine

But can you explain what happens when Nestlé buys a plant in South Africa....

What is the other side of the coin?

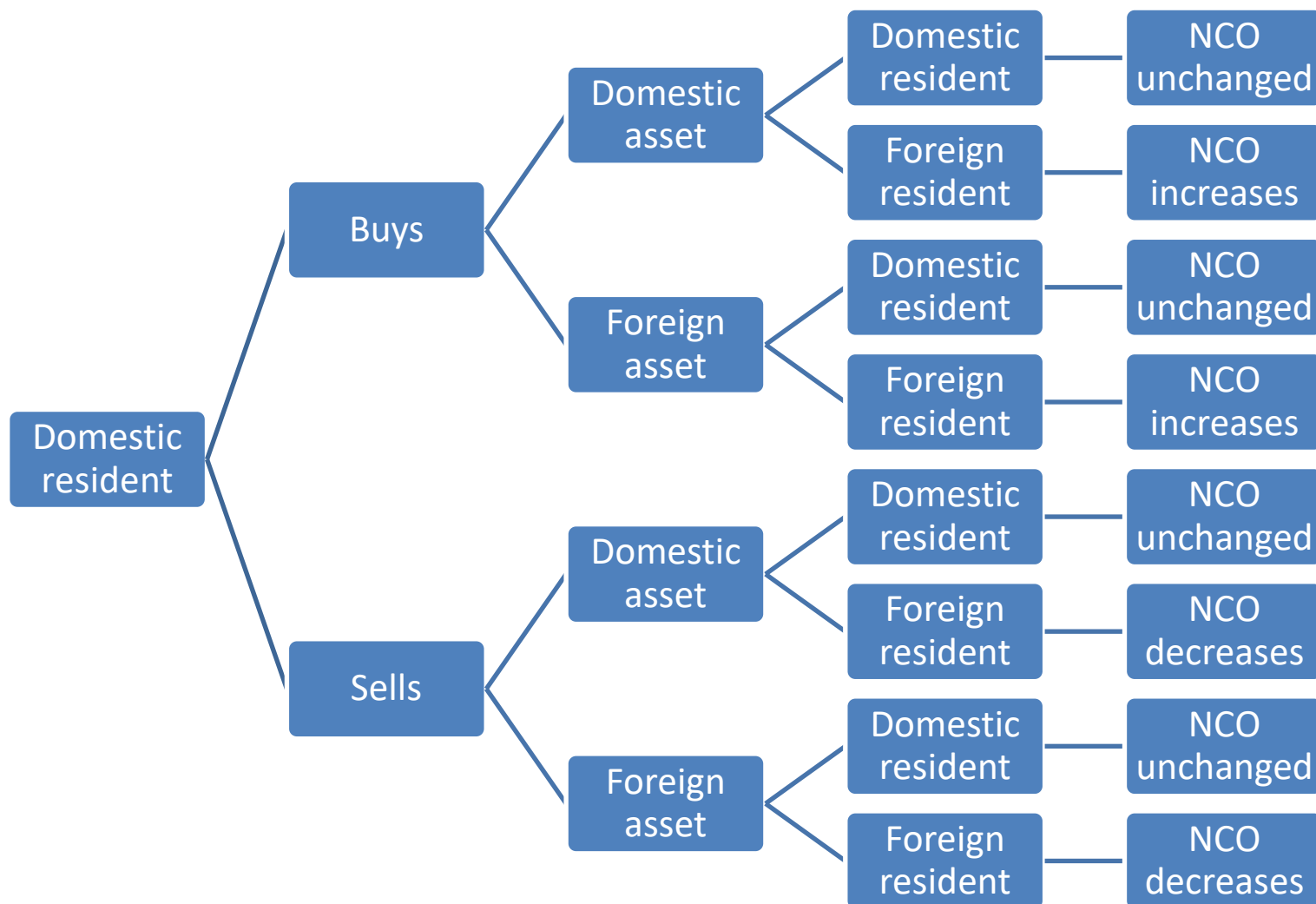
Can we explain Trump's obsession with bilateral trade deficits? No, it is nonsense



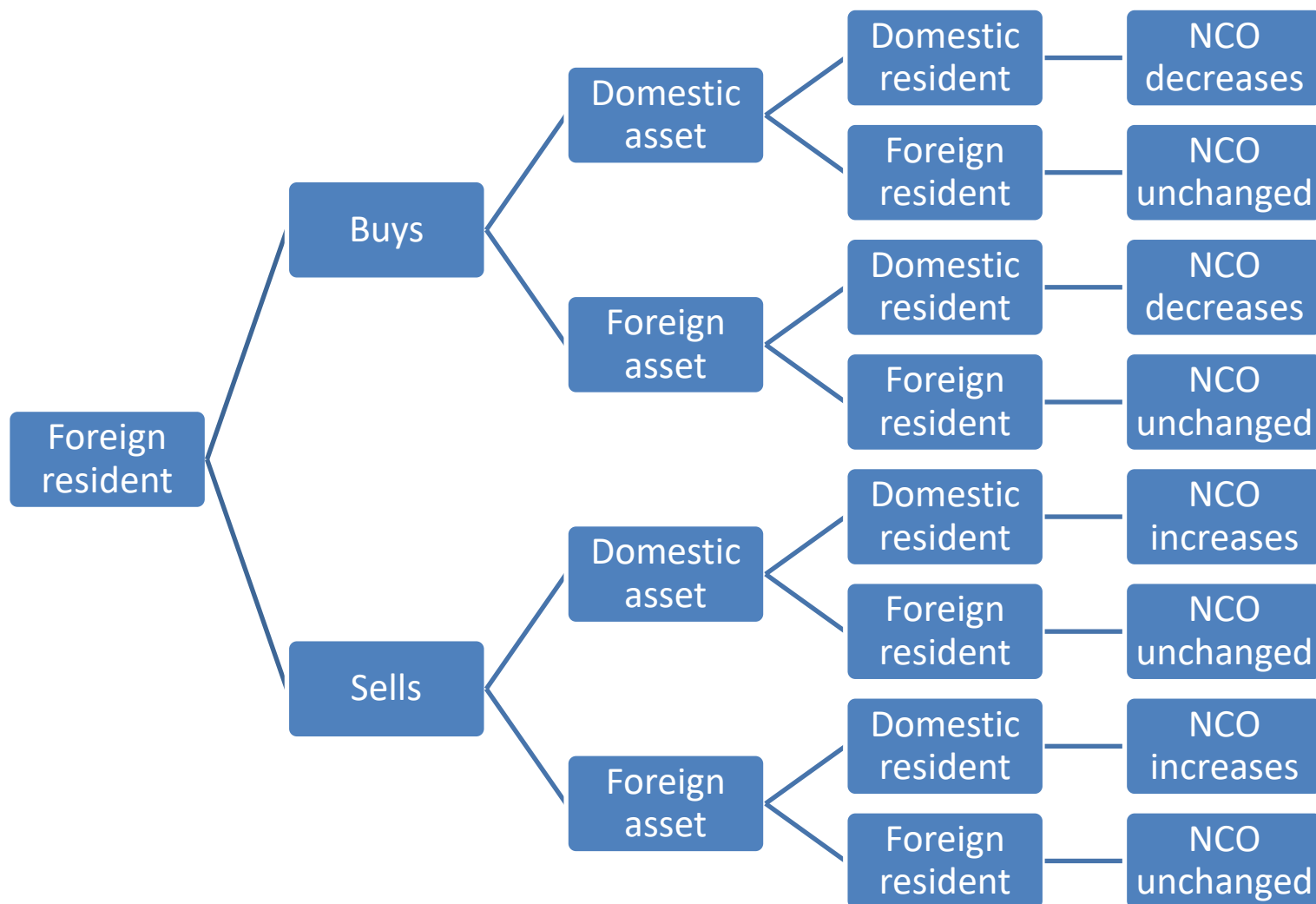
But can higher overall tariffs reduce trade deficits?

- $NX = S - I = (T-G) + S^p - I$
- Only if it increases government savings, private savings or reduces investment. No strong reason for that. As we will see next week tariffs have no impact on NX (in the long run). They only lead to a domestic currency appreciation.
- The only reason it may work is because of the uncertainty it created, the risks of a recession in the US, plus threats to holders of US assets that they will be taxed. This may significantly reduce investment in the US and capital inflows and therefore NCO, which reduces NX
- The higher foreign investment requested by the US administration will lead to higher NX!!!

Shifts in NCO in the domestic economy (domestic resident actions)



Shifts in NCO in the domestic economy (foreign resident actions)



- An example of PPP as the determinant of exchange rates is the **Big Mac Index**
- The Big Mac Index assumes the law of one price. It is calculated as:

$$\text{Big Mac Index} = P / P^*$$

- And you then compare the current nominal exchange rate to the Big Mac Index. If the latter is larger, then the domestic currency is over-valued (or the foreign Big Mac is too expensive)

4/25/24, 10:11 AM

Our Big Mac index shows how burger prices are changing

Choose a base currency

Show index at

US dollar

Jan 2024

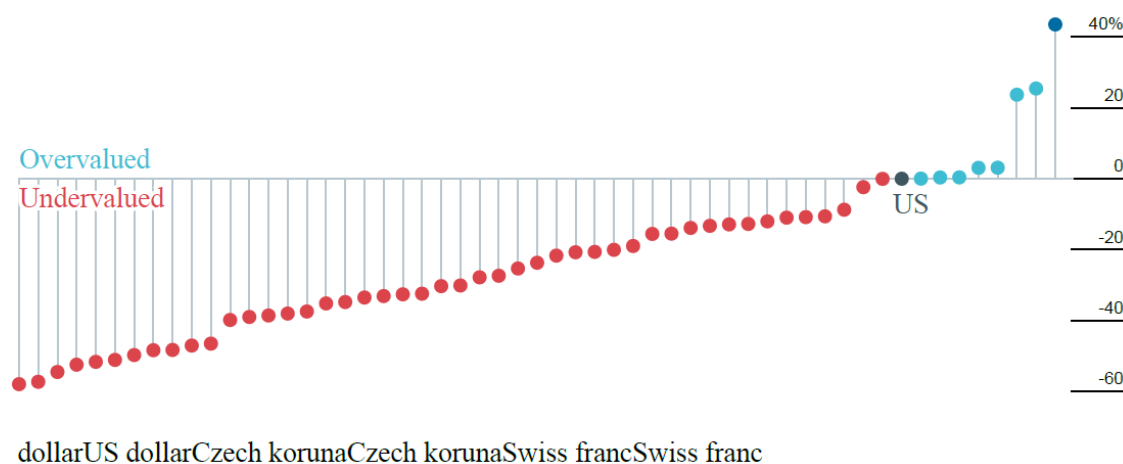
for GDP per person

Raw index

GDP-adjusted

The Swiss franc is 43.5% overvalued against the US dollar

January 2024



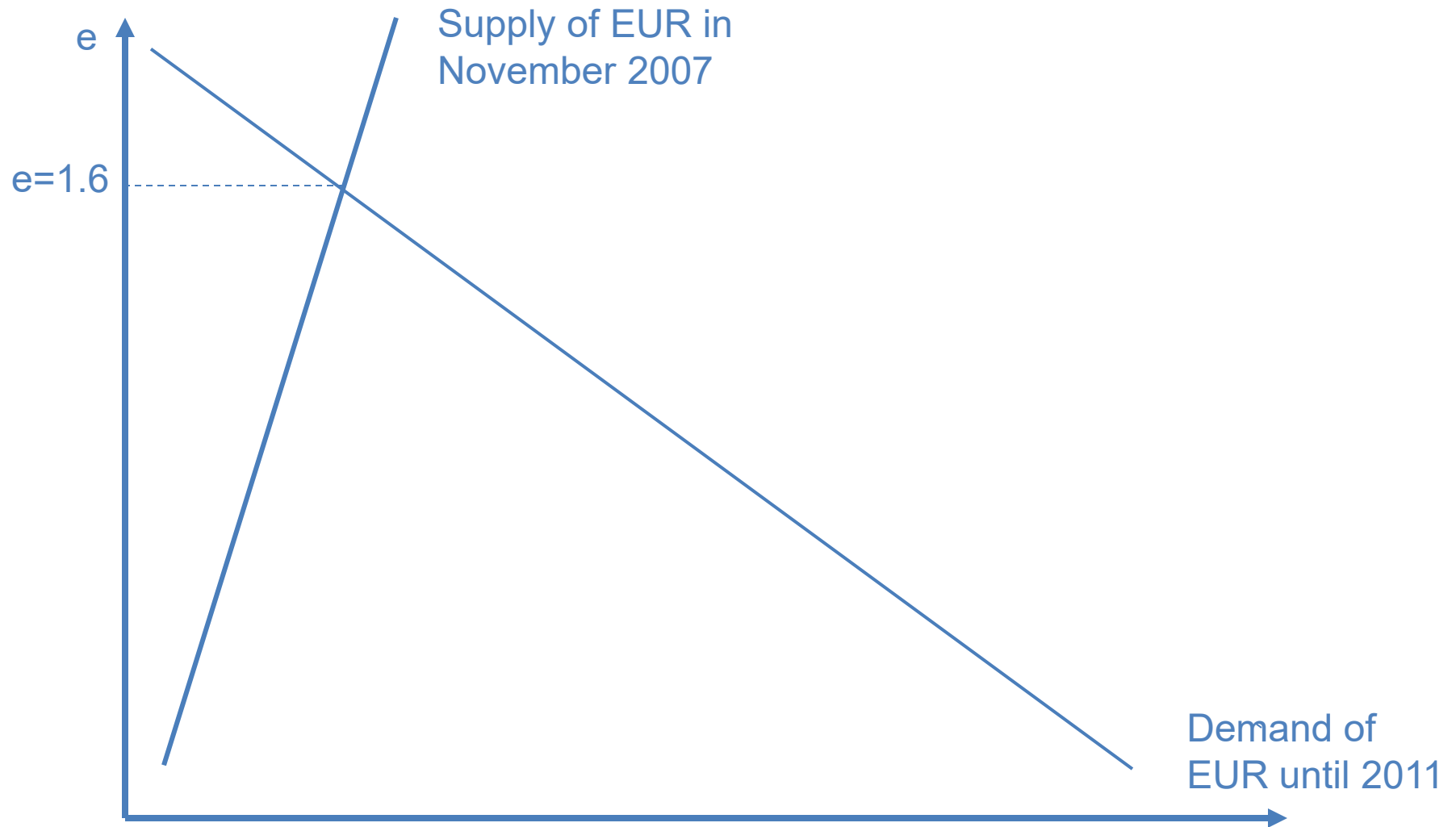
A Big Mac costs **SFr7.10** in Switzerland and **US\$5.69** in the United States. The implied exchange rate is **1.25**. The difference between this and the actual exchange rate, **0.87**, suggests the Swiss franc is **43.5% overvalued**

What should the CHF/USD exchange rate be according to the Big Mac Index?

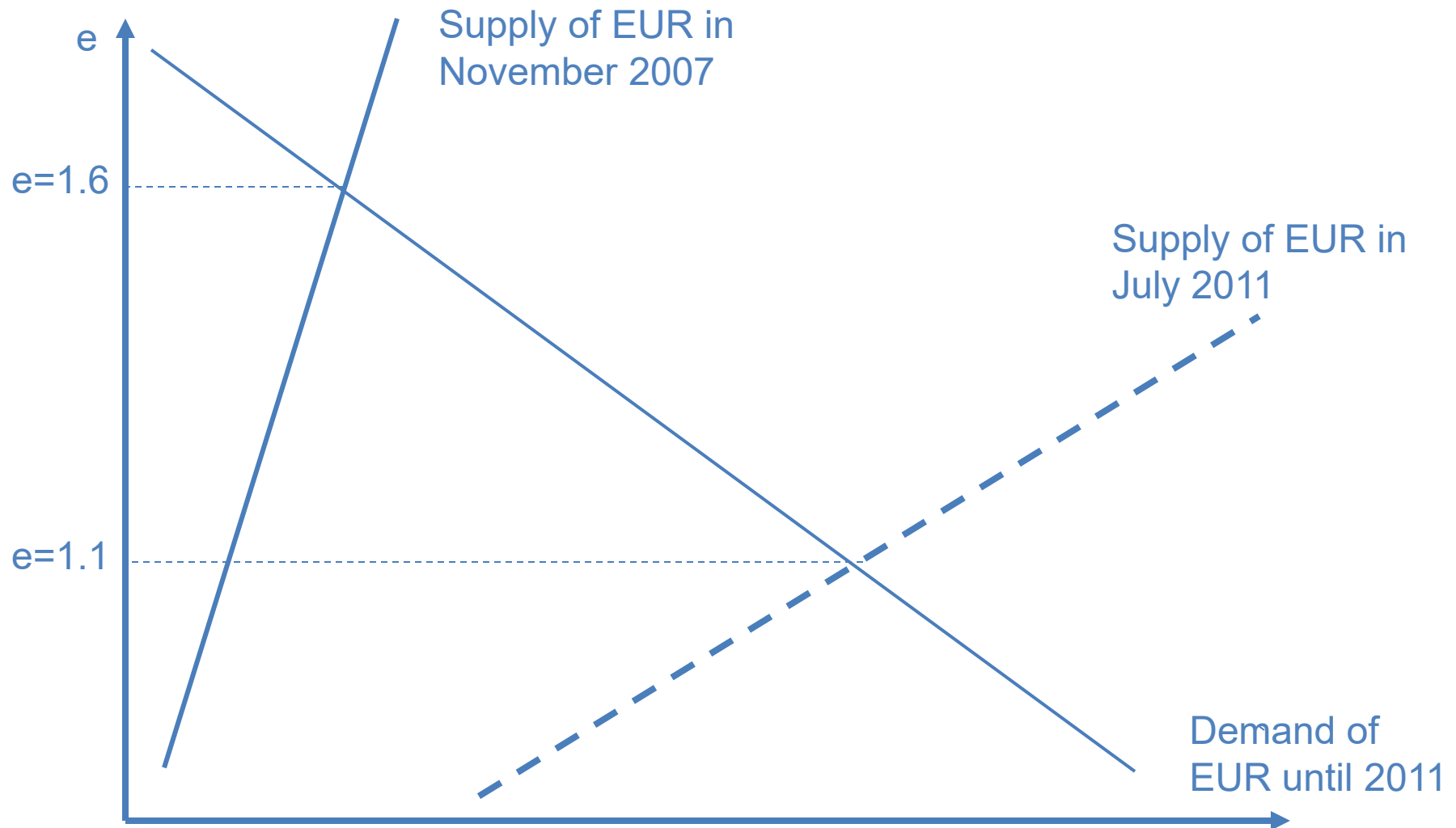
How should then the CHF evolve relative to the USD In the long run?

- Using relative PPP and assuming that we expect inflation to be higher in the US than in Switzerland over the next year due to Trump tariffs, do you expect the CHF to appreciate or depreciate relatively to the USD?

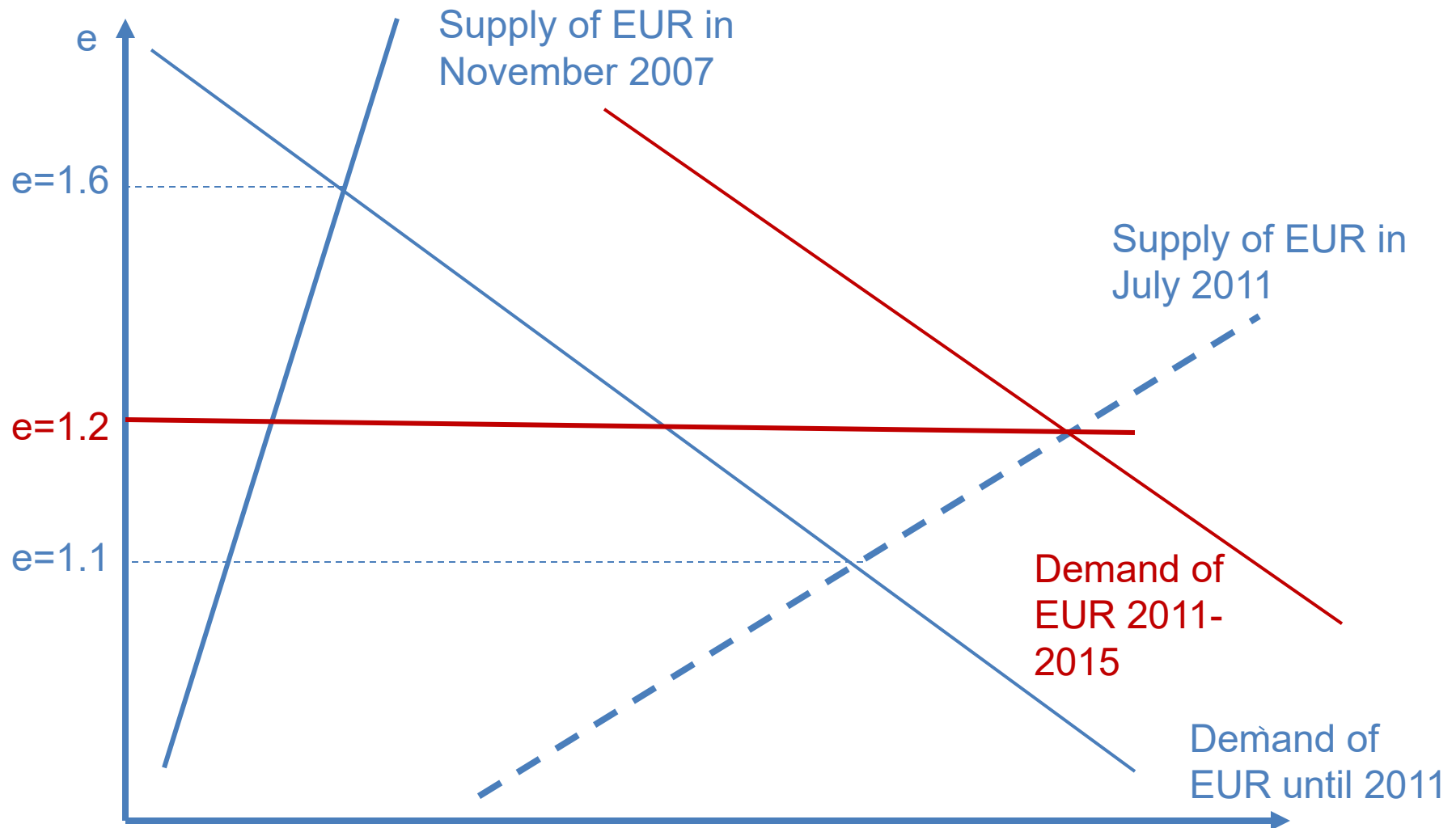
Explaining what happened when the SNB fixed the EURCHF exchange rate at 1.20



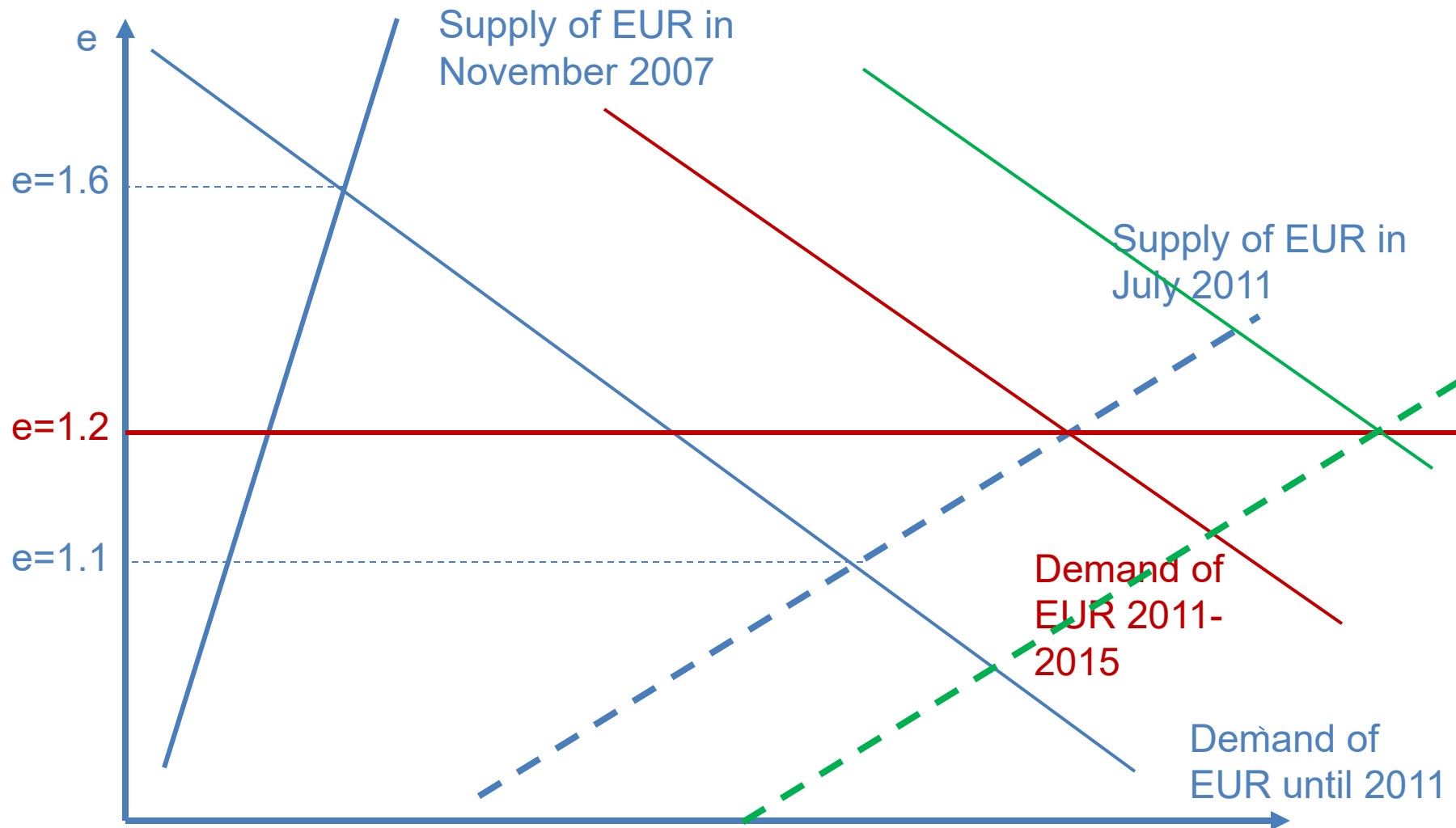
SNB fixing the EURCHF exchange rate at 1.20



SNB fixing the EURCHF exchange rate at 1.20



And if supply of EUR increases, the BNS increases demand to keep $e=1.20$



- Using the open macroeconomic model, we saw that a tariff or import quota (or any import restriction) does not impact Net Exports (NX). But what happens with exports when we impose a tariff?

The Exam

Material covered

- All that has been seen in class or seminar
- The companion chapters in M&T or K&W if the material was covered in class or seminar
- No surprises in terms of material covered
- No differences between the English and French exams (apart from language).

Type of exam

- 2 hours
- 30 MCQ with 4 possible answers. No penalties → Answer all questions
- There will be 6 to 8 questions on the first part of the course, 6 to 8 questions on the second part, 6 to 8 questions on the third part, and 6 to 8 questions on the fourth part.
- Over the entire exam
 - 1/3 of the questions will require some simple calculus
 - 2/3 of the questions will be analytical
- A two-sided A4 page of personal notes and a non-programmable calculator are allowed

Examples of exam questions for weeks 7, 8 and 9

votamatic.unige.ch

code d'accès: TBVK



<https://votamatic.unige.ch/form/g6P4o1Y4kcnHsJ5AyMEj>